

a plane crash into the office building – and fumed at my answer that the financial condition of his department would be of small interest to me in such circumstances. He had a horrible reputation as a philanderer, a temperamental boss capable of firing someone at a whim, yet he listened to me and understood every word I had to say, encouraging me to go the extra mile in my study of randomness. He taught me to look for the invisible risks of blowup in any portfolio. Not coincidentally, he has an immense respect for science and an almost fawning deference for scientists; a decade or so after we worked together he showed up unexpectedly during the defense of my doctoral thesis, smiling from the back of the room. While Kenny knew how to climb the ladder of an institution, reaching a high level in the organization before being forced out, Jean-Patrice did not have such a happy career, a matter that taught me to beware of mature financial institutions.

It can be disturbing for many self-styled “bottom line” oriented people to be questioned about the histories that did not take place rather than the ones that actually happened. Clearly, to a no-nonsense person of the “successful in business” variety, my language (and, I have to reckon, some traits of my personality) appear strange and incomprehensible. To my amusement, the argument appears offensive to many.

The contrast between Kenny and Jean-Patrice is not a mere coincidence in a protracted career. Beware the spendthrift “businesswise” person; the cemetery of markets is disproportionately well stocked with the self-styled “bottom line” people. In contrast with their customary Masters of the Universe demeanor, they suddenly look pale, humble and hormone-deprived on the way to the personnel office for the customary discussion of the severance agreement.

George Will Is No Solon: On Counterintuitive Truths

Realism can be punishing. Probabilistic skepticism is worse. It is difficult to go about life wearing probabilistic glasses, as one starts seeing fools of randomness all around, in a variety of situations – obdurate in their

perceptual illusion. To start, it is impossible to read a historian's analysis without questioning the inferences: we know that Hannibal and Hitler were mad in their pursuits, as Rome is not today Phoenician-speaking and Times Square in New York currently exhibits no swastikas. But what of all those generals who were equally foolish, but ended up winning the war and consequently the esteem of the historical chronicler? It is hard to think of Alexander the Great or Julius Caesar as men who won only in the visible history, but who could have suffered defeat in others. If we have heard of them, it is simply because they took considerable risks, along with thousands of others and happened to win. They were intelligent, courageous, noble (at times), had the highest possible obtainable culture in their day – but so did thousands of others who live in the musty footnotes of history. Again I am not contesting that they won their wars – only the claims concerning the quality of their strategies. (My very first impression upon a recent rereading of the *Iliad*, the first in my adulthood, is that the epic poet did not judge his heroes by the result: heroes won and lost battles in a manner that was totally independent of their own valor; their fate depended upon totally external forces, generally the explicit agency of the scheming gods (not devoid of nepotism). Heroes are heroes because they are heroic in behavior, not because they won or lost. Patrocles does not strike us as a hero because of his accomplishments (he was rapidly killed) but because he preferred to die than see Achilles sulking into inaction. Clearly the epic poets understood invisible histories. Also later thinkers and poets had more elaborate methods for dealing with randomness, as we will see with stoicism.)

Listening to the media, mostly because I am not used to it, can cause me on occasion to jump out of my seat and become emotional in front of the moving image (I grew up with no television and was in my late twenties when I learned to operate a TV set). One illustration of a dangerous refusal to consider alternative histories is provided by the interview that media person George Will, a “commentator” of the extensively commenting variety, conducted with Professor Robert Shiller, a man known to the public for his best-selling book *Irrational Exuberance*, but known to the connoisseur for his remarkable insights about the structure of market randomness and volatility (expressed in the precision of mathematics).